

Expenses, expenses and more expenses

In the investment world, there are primarily three types of expenses that the investor, knowingly or unknowingly, pays for:

Transaction fees: Also called brokerage, it is the fee you end up paying every time you enter a transaction. More typical to the stock portfolio, these expenses look small in themselves; however they have a devastating effect when the portfolio turnover or the churn goes up. If a broker charges you a 0.5 per cent fee for a stock purchase, it may not seem like much. If, however, in the course of a year you bought and sold five times, your total fee as a percentage of your portfolio becomes 5 per cent!

Annual fees: This is more typical of funds (like mutual funds and PMS) wherein the fund manager charges an annual fee which can actually be paid on a monthly or quarterly basis as well. Additionally, there may be a performance fee as well where the fund manager is entitled to a share of the profit that he is able to generate for investors. The performance fee is typically settled annually.

Hidden fees: In insurance products and structured products, it is not easy for investors to understand exactly what fees are being charged. In structured products,² for example, the investor could be given a formula for the return on his principal but that is really the net return in his hands. He is not told what the actual gross return generated from that product is. The difference between the two is what the manufacturer and the distributor cream from the buyers of structured products. Such hidden charges are also embedded in complex products like ULIPs.

Most literature on finance is about investing money wisely to generate stellar returns. As a result, investors tend to focus largely on gross returns without realizing that high expenses can be just as damaging to their long-term financial health as weak returns. The financial services industry realizes that expenses are a blind spot for most investors and, hence, clever brokers and